

trade analysis. Many traders have the discipline to set stops and stick with them, but make the critical mistake of determining the stop points as pain thresholds rather than price levels that disprove their original trade premise. When they get stopped out, they still believe the original trade idea was correct. As a result, there will be a strong temptation to get back into the trade, leading to multiple losses on the same idea. The money management discipline may prevent a single large loss, but if the stop point is inconsistent with the trade analysis, it may not prevent a cumulative loss that is even larger. O'Shea's advice is first decide where you are wrong, and then set the stop. If the stop implies a larger loss than you are comfortable taking on a single trade, then size the position correspondingly smaller. Using this approach, if the market reaches the stop point, it will be consistent with your own beliefs that the original trade premise was wrong.

One common theme that seems to underlie almost all the trades that O'Shea discussed in this chapter is that they are structured to be right skewed—that is, the maximum loss is limited, but the upside is open-ended. Long options, long CDS protection, and long the TED spread are all examples of trades in which the maximum loss is constrained.⁵

¹The derivatives normally used to express directional and relative value exposure in global macro (e.g., futures, FX, options, swaps) require only a small capital outlay (as margin or premium) relative to the face value exposure.

²The passage that O'Shea refers to is the following:

I think it was a long step forward in my education when I realized at last that when old Mr. Partridge kept on telling the other customers, "Well, you know this is a bull market!" he really meant to tell them that the big money was not in the individual fluctuations but in the main movement—that is, not in reading the tape but in sizing up the entire market and its trend.

³Readers unfamiliar with options may wish to first review Appendix B, which provides a brief summary of option basics.

⁴Commodity Trading Advisor (CTA) is the official designation of regulated managers who trade the futures markets. The majority of these managers use trend-following systems to generate trades.